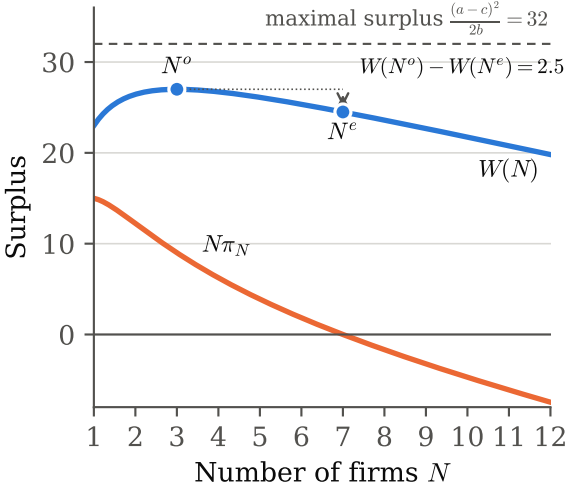
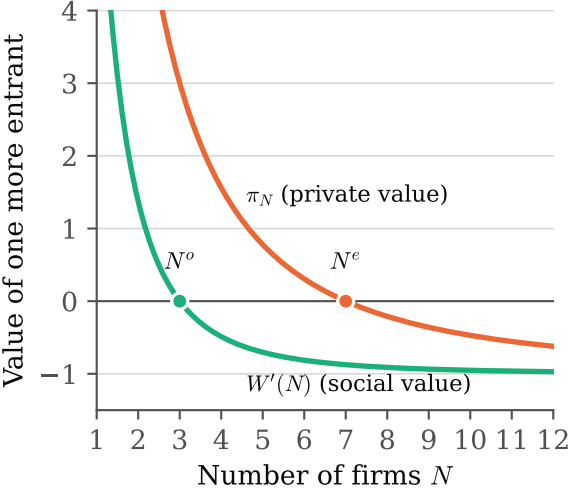

maximal surplus $\frac{(a-c)^2}{2b} = 32$
N^o
$W(N^o) - W(N^e) = 2.5$
N^e
$W(N)$
$N\pi_N$
Surplus
30
20
10
0
1 2 3 4 5 6 7 8 9 10 11 12
Number of firms N


4
3
2
1
0
−1
Value of one more entrant
π_N (private value)
N^o
N^e
$W'(N)$ (social value)
1 2 3 4 5 6 7 8 9 10 11 12
Number of firms N